CENTRAL ELECTRICITY REGULATORY COMMISSION
NEW DELHI

Petition No. 424/MP/2025

Coram:

Shri Jishnu Barua, Chairperson
Shri Ramesh Babu V., Member
Shri Harish Dudani, Member
Shri Ravinder Singh Dhillon, Member

Date of Order: 12th March, 2026

In the matter of:

Petition under Section 79 (1) (a) & (k) read with Section 62 of the Electricity Act, 2003 read with Chapter-V of the CERC (Conduct of Business) Regulations, 1999 & 2023 and Chapter-3, Regulation 8 of the CERC (Terms and Conditions of Tariff) Regulations, 2014 for allowing expenditure towards procurement and capitalization of wagons for Kahalgaon Super Thermal Power Station, Stage-I (840 MW).

And

In the matter of:

NTPC Limited
NTPC Bhawan, Core-7, Scope Complex,
7, Institutional Area, Lodhi Road
New Delhi-110 003 **……Petitioner**

Vs

1. **Bihar State Power (Holding) Company Limited,**
   Vidyut Bhawan, Bailey Road, Patna – 800 021

2. **Jharkhand Urja Vikas Nigam Limited,**
   Engineering Building, HEC, Dhurwa, Ranchi – 834004

3. **GRIDCO Limited,**
   24, Janpath, Bhubaneswar – 751007

4. **Power Department,**
   Govt. of Sikkim
   Kazi Road, Gangtok - 737101, Sikkim

5. **Assam Power Distribution Company Limited,**
   Bijulee Bhawan, Paltan Bazar, Guwahati-781001.

6. **Tamil Nadu Generation and Distribution Corporation Limited,**
   NPKRP Maaligail, 800, Anna Salai, Chennai – 600002

7. **Uttar Pradesh Power Corp. Limited,**
Shakti Bhawan, 14, Ashok Marg
Lucknow – 226001

8. **Rajasthan Urja Vikas Nigam Limited,**
Vidyut Bhawan, Janpath, Jaipur – 302 005 (Rajasthan)
(On Behalf of Jaipur Vidyut Vitran Nigam Ltd. ,
Ajmer Vidyut Vitran Nigam Ltd.
Jodhpur Vidyut Vitran Nigam Ltd.

9. **Power Development Department,**
Govt. of J&K Secretariat,
Srinagar

10**. Haryana Power Purchase Centre,**
Shakti Bhawan, Sector-VI, Panchkula
Haryana-134109

11. **Punjab State Power Corporation Limited,,**
The Mall, Patiala- 147001

12. **BSES Rajdhani Power Limited,**
BSES Bhawan, Nehru Place, New Delhi-110019

13**. BSES Yamuna Power Limited,**
Shakti Kiran Bldg., Karkardooma, Delhi -110092

14**. Tata Power Delhi Distribution Limited,**
NDPL House
Hudson Lane, Kingsway Camp, Delhi-110009. **…… Respondents**

Parties Present:

Shri Adarsh Tripathi, Advocate, NTPC
Shri Ajitesh Garg, Advocate, NTPC
Ms. Anisha Upadhyay, Advocate, BSPHCL
Shri Nishant Kumar, Advocate, BSPHCL
Shri Vaibhav Kalra, Advocate, BSPHCL

ORDER

The Petitioner, NTPC Ltd. ("Petitioner"/ "NTPC"), has filed the present Petition under Section 79 (1) (a) & (k) read with Section 62 of the Electricity Act, 2003 ("the Act"), seeking expenditure towards procurement and capitalization of wagons for Kahalgaon Super Thermal Power Station, Stage-I (840 MW) ("Kahalgaon-I") located in the State of Bihar. The Petitioner has made the following prayers:

a) *Allow the expenditure of Rs. 454.49 lakh incurred towards 10 wagons for Kahalgaon Stage-I for the financial year 2014-15 under Regulation 14(3)(x) of the 2014 Tariff Regulations;*

b) *Revise the tariff of Kahalgaon Stage-I for the period 2014-19 accordingly; and*

c) *Pass any other order as it may deem fit in the circumstances mentioned above.*

Background of the Case:

2. The Petitioner is a Government Company within the meaning of the Companies Act, 1956 and a 'Generating Company' as defined under Section 2(28) of the Electricity Act, 2003 (the Act). It operates power stations and projects across various regions of the country, including Kahalgaon-I, located in the State of Bihar.

3. Prior to filing the instant Petition, the Petitioner had filed a Petition No. 279/GT/2014 before the Commission for the determination of the 2014-19 tariff of Kahalgoan-I. The Commission, vide order dated 30.7.2016 in Petition No. 279/GT/2014, determined the capital cost and annual fixed charges of the generating station for the tariff period 2014-19. Aggrieved by the disallowance of Rs. 510 lakh incurred towards augmentation of the firefighting system, the Petitioner filed Review Petition No. 46/RP/2016. The Commission, by order dated 21.2.2017, disposed of the Review Petition, keeping the issue of capitalization of the said expenditure open, pending submission of the report of the CEA.

4. Subsequently, the Petitioner filed Petition No. 294/GT/2020 dated 30.10.2019 for truing-up of 2014-19 tariff under Regulation 8(1) of the 2014 Tariff Regulations. In its additional submissions dated 10.5.2022 in the said Petition, the Petitioner claimed Rs. 454.49 lakh towards procurement of 10 wagons under Regulation 14(3)(x) of the 2014 Tariff Regulations. It was submitted that the expenditure had earlier been claimed under exclusion since the same was disallowed in the Commission's order dated 30.7.2016 in Petition No. 279/GT/2014. The Petitioner further referred to a similar

disallowance in Petition No. 150/2009 (Farakka STPS), which was upheld by the Appellate Tribunal for Electricity (APTEL) in its order dated 26.3.2014 in Appeal No. 86 of 2012. However, the Hon'ble Supreme Court, in Civil Appeal No. 5990 of 2014, by judgment dated 9.11.2017, set aside the APTEL order and remanded the matter to the APTEL for reconsideration.

5. Accordingly, since the issue of wagon capitalization was pending adjudication before the APTEL, the Commission, vide order dated 19.5.2024 in Petition No. 294/GT/2020 (read with corrigendum dated 15.6.2024), deferred consideration of the claim while granting liberty to the Petitioner to approach the Commission upon final adjudication, and pursuant thereto, upon the APTEL's judgment dated 22.11.2024 in Appeal No. 86 of 2012 ("APTEL judgment dated 22.11.2024) allowing the claim for capitalization of wagons, the Petitioner has filed the present Petition seeking capitalization of 10 wagons amounting to Rs. 454.49 lakh for the year 2014–15 under Regulation 14(3)(x) of the 2014 Tariff Regulations.

Submissions of the Petitioner:

6. The Petitioner, in support of the relief sought, has mainly submitted the following:

(a) The APTEL judgment dated 22.11.2024 concerning Farakka STPS, allowed the claim towards capitalization of wagons, holding *inter alia* that the wagons were essential for the efficient operation of the generating station and formed an integral part of the fuel receipt system; that inter-unit transfer of wagons during exigencies is a permissible and economically prudent practice to ensure sustained functioning of the generating stations; that replacement of unserviceable wagons had been duly accounted for through decapitalization; and that similar inter-unit transfers between Farakka STPS and other NTPC stations underscored the operational necessity of maintaining an adequate stock of wagons.

(b) Regulation 14(3)(x) of the 2014 Tariff Regulations provides for capitalization of expenditure necessitated on account of modifications in the fuel receiving system arising due to circumstances not within the control of the generating station. In the present case, the procurement of wagons was necessitated due to operational exigencies and the need to replace unserviceable wagons to maintain the efficiency and reliability of coal transportation. The wagons are directly linked to the fuel receipt system, which is critical for the operation of the generating station. This expenditure is, therefore, fully justified under the provisions of Regulation 14(3)(x) of the 2014 Tariff Regulations.

(c) The wagons in question do not fall under the category of minor assets, tools, or furniture. The expenditure was incurred for assets of significant operational importance and is not of a nature that could be covered under Compensation Allowance or O&M expenses. Thus, the claim for capitalization meets the regulatory requirements.

(d) The expenditure incurred for the procurement of the aforesaid wagons is essential for the reliable operation of Kahalgaon Stage-I. The wagons are utilised for the transportation of coal from mines to the station and are integral to the functioning of the fuel receipt system. The procurement was necessitated by the decapitalization of old and unserviceable wagons.

(e) The findings and observations of the APTEL`s judgment dated 22.11.2024 conclusively establish that the expenditure incurred on wagons is a legitimate claim. Given the similar operational requirements at Kahalgaon Stage-I, the principles laid down in the said APTEL`s judgment are squarely applicable to the present case.

(f) The Commission has duly recognised the necessity of wagons for the generating station in question and has not disallowed the Petitioner's claim on this ground. It has appropriately granted the Petitioner liberty to approach the Commission upon the final adjudication by the APTEL in the remand proceedings concerning Farakka STPS. The Commission, in a similar context,

allowed claims pertaining to wagons for Farakka STPP Stage-I & II in the truing-up proceedings for the period 2014–19, vide the order dated 17.4.2023 in Petition No. 698/GT/2020.

(g) The APTEL`s judgment dated 22.11.2024 further reinforces the legitimacy of the present claim. The APTEL categorically held that the capitalization of such expenditure is justified and essential for station operations. Given the identical nature of the claims for Farakka and Kahalgaon, judicial consistency mandates that the Commission extend similar treatment to the present claim for Kahalgaon Stage-I. Therefore, adhering to the observations of the APTEL is essential to ensure judicial propriety and uniformity in regulatory decisions. Any deviation from established precedent would introduce inconsistency and uncertainty in the regulatory framework, which would be detrimental to the interests of all stakeholders. The principles laid down in the APTEL's judgment must therefore be applied to the present case.

Hearing dated 24.6.2025

7. Notices were issued to the Respondents to file their replies. The Petitioner vide ROP dated 24.6.2025 was directed to file certain additional information, *inter alia*, regarding the capitalization of 10 wagons, their availability, and status, decapitalization of unserviceable wagons, and requisite certifications, including non-duplication of claims and compliance with the prescribed SoP. In compliance with the Commission's directions, the Petitioner filed the requisite additional information vide affidavit dated 6.8.2025. Respondent No. 1, BSPHCL, filed its Reply vide affidavit dated 25.8.2025, and the Petitioner submitted its Rejoinder vide affidavit dated 9.9.2025.

Reply of Respondent No.1 BSPHCL

8. BSPHCL, in response to the main Petition and additional information submitted by the Petitioner, has submitted as follows: -

(a) That the present Petition has been filed by the Petitioner pursuant to the liberty granted in the order dated 19.5.2024 in Petition No. 294/GT/2020,

permitting the Petitioner to approach afresh, depending upon the outcome of Appeal No. 86 of 2012 (Farakka STPS) before the APTEL. However, the liberty to approach does not create a vested right to capitalization. The Petitioner must still satisfy Regulation 14(3)(x) of the 2014 Tariff Regulations through a station-specific prudence check on necessity and control-beyond circumstances.

(b) Regulation 14(3)(x) of the 2014 Tariff Regulations permits additional capitalization only where the same is necessitated on account of modifications in the fuel receiving system arising from non-materialisation of coal linkage or other circumstances not within the control of the generating station. In the present case, the Petitioner has not demonstrated that there was any failure of coal linkage at Kahalgaon, nor has it established the existence of any extraordinary exigency warranting the procurement of wagons.

(c) The Petitioner bears the burden of strict proof to justify the procurement of 10 wagons at Kahalgaon, by producing contemporaneous documentation of operational exigencies, coal receipt records, and Auditor's Certificates establishing that such procurement was not in the nature of routine replacement or augmentation, but was genuinely necessitated by extraordinary circumstances beyond its control.

(d) Further, the Petitioner must demonstrate proper decapitalization of old and unserviceable wagons through detailed accounting records, so as to avoid double-counting of assets and impermissible duplication of cost recovery. While wagons may be essential to the operation of the generating station, their characterisation as non-minor assets does not, by itself, entitle the Petitioner to capitalization, such claims must still withstand the prudence check and can only be admitted upon clear demonstration of exceptional circumstances as envisaged under Regulation 14(3)(x) of the 2014 Tariff Regulations. The bare perusal of the said Regulation reads that capitalization requires (a) "modifications in fuel receiving system" (b) "necessitated" by circumstances beyond control. The Petitioner has not

produced third-party records showing such uncontrollable exigency at Kahalgaon during 2014–19.

(e) The reliance placed by the Petitioner on the APTEL`s judgment dated 22.11.2024 in respect of Farakka STPS is misconceived. The said order cannot by itself operate as an automatic sanction for capitalization of similar expenditure at Kahalgaon STPS. The burden rests entirely on the Petitioner to demonstrate, with station-specific evidence and contemporaneous records, that Kahalgaon encountered circumstances identical to those at Farakka and that the procurement of wagons was both unavoidable and prudently incurred. In the absence of such substantiation, the claim is unsustainable. The Commission is under no obligation to mechanically transpose the appellate findings in Farakka without an independent and fact-based determination for Kahalgaon.

(f) The Petitioner's contention that the details of capitalization of Rs. 454.49 lakh towards 10 wagons were duly submitted vide additional submission dated 10.5.2022 in Petition No. 294/GT/2020 is not borne out from the records. The consolidated pleadings of Petition No. 294/GT/2020, including Annexures and Form–9Bi at page 1175, do not contain the said details. The onus lies upon the Petitioner to demonstrate with proper documentary evidence that such capitalization was, in fact, filed and considered earlier.

(g) In the absence of the said details in the record of the true up Petition, the claim of capitalization of 10 wagons amounting to Rs. 454.49 lakh remains unsubstantiated. The Petitioner cannot now rely on a bare assertion without contemporaneous proof, and any attempt to introduce or supplement such information belatedly ought to be viewed with caution. The Commission may direct the Petitioner to produce verifiable and complete records; failing which. the claim may not be allowed.

(h) The Petitioner has not furnished any verifiable data regarding the total number of wagons existing at Kahalgaon Stage-I prior to and after the procurement of the 10 wagons. The bare statement of procurement, without

disclosing the status and usability of existing wagons, prevents proper scrutiny of whether the purchase was genuinely necessitated. The operational justification for the capitalization cannot be established unless a wagon-wise inventory, with usability status before and after procurement, is placed on record.

(i) In the absence of such specific details, including documentary proof from the generating station records, the Commission may not be in a position to ascertain whether the procurement of 10 wagons was merely an addition or a genuine replacement. Therefore, the Petitioner be directed to submit wagon-wise data duly certified by the competent authority, failing which the claim of capitalization may not be entertained.

(j) The Petitioner has failed to clearly specify the number of wagons decapitalized, the exact dates of such decapitalization, and the detailed justification thereof. The reference to Form–9Bi in the additional submission dated 10.5.2022 (at page 1175 of Petition No. 294/GT/2020) is vague and does not provide any wagon-wise linkage or verifiable computation of decapitalization values. In the absence of transparent wagon-wise data and proper demonstration of formulae used, the claim of decapitalization remains unsubstantiated.

(k) The Petitioner has not produced any independent certification to establish that the capitalization of 10 wagons has not been simultaneously claimed under Compensation Allowance or O&M Expenses. In the absence of a categorical certificate from the competent authority, the possibility of double accounting cannot be ruled out. The Commission may therefore insist on a duly authenticated certificate before entertaining the capitalization claim.

(l) The Petitioner has not provided any copy of the SoP governing declaration of wagons as unserviceable, nor any certificate from the competent authority confirming compliance. Without such documentary proof, the basis for treating the replaced wagons as obsolete remains unverified. The

Commission may, therefore, direct strict submission of the SoP along with an authenticated certificate before considering the capitalization claim.

Rejoinder of the Petitioner

9. The Petitioner, vide vide its rejoinder dated 9.9.2025, to the reply of BSPHCL, has submitted as under:

(a) BSPHCL's submission that the Petition is premature and not maintainable is wholly untenable. The Commission, vide order dated 19.5.2024 in Petition No. 294/GT/2020, had expressly granted liberty to the Petitioner to approach afresh depending upon the outcome of Appeal No. 86 of 2012 pertaining to Farakka STPS. The subsequent APTEL judgment dated 22.11.2024 in the said Appeal has conclusively upheld capitalization of wagons under Regulation 14(3)(x) of the 2014 Tariff Regulations. Therefore, the present Petition is not only maintainable but has been filed strictly in compliance with the Commission's directions.

(b) BSPHCL's assertion that liberty to approach does not create a vested right is a misreading of the order. The liberty granted by the Commission is a binding procedural safeguard, ensuring that NTPC's legitimate claim, otherwise deferred, could be agitated once the appellate ruling was delivered. The APTEL judgment, being final and binding on identical issues, establishes the legitimacy of capitalization of wagons. Hence, the present Petition squarely falls within the protective ambit of the Commission's order and Regulation 14(3)(x) of the 2014 Tariff Regulations.

(c) The contention of BSPHCL that the Petitioner has not demonstrated failure of coal linkage at Kahalgaon is misconceived. Regulation 14(3)(x) of the 2014 Tariff Regulations does not restrict additional capitalization only to situations of complete failure of linkage. The said Regulation expressly covers circumstances necessitating modification in the fuel receiving system "*arising due to non-materialisation of coal supply corresponding to full coal linkage*" or due to circumstances "*not within the control of the generating station.*" The exigencies faced at Kahalgaon, i.e., shortfall in rake availability,

wagon failures, and inter-unit transfers to maintain fuel receipt, squarely fall within these circumstances.

(d) The suggestion that the Petitioner bears the burden of strict proof and has not produced contemporaneous evidence is factually incorrect. The Petition is supported by audited accounts, station records, Form-9Bi, additional submissions dated 10.5.2022 in Petition No. 294/GT/2020, and the Auditor's certification confirming both capitalization and corresponding decapitalization of old wagons. These constitute contemporaneous and verifiable records, fully satisfying the prudence check envisaged under the Regulations.

(e) BSPHCL's plea that proper decapitalization has not been shown is equally unfounded. As detailed in the Petition, the procurement of 10 wagons was necessitated to replace unserviceable wagons, which have duly been decapitalized in the accounts. The Petitioner has submitted the detailed record of decapitalization of wagons and amount as considered by the Commission vide various orders from time to time. The Commission has concluded the aforesaid decapitalization based on various records submitted by the Petitioner, including the auditor's certificate, annexed with the corresponding Petition. Hence, this categorically confirms that decapitalization has been carried out, ensuring that no duplication or double-counting of assets arises.

(f) BSPHCL's reliance on the bare wording of Regulation 14(3)(x) of the 2014 Tariff Regulations to argue that NTPC has not proved uncontrollable exigencies ignores the binding precedent of the Hon'ble Supreme Court and the APTEL. The Hon'ble Supreme Court in CA No. 5990 of 2014 (NTPC v. CERC) held that wagon capitalization issues had to be reconsidered on a holistic basis. The APTEL`s judgment dated 22.11.2024, after detailed scrutiny, recognised that wagons are integral to the fuel receipt system and their procurement/replacement constitutes legitimate additional capitalization.

(g) BSPHCL's need to appreciate that for running the 840 MW Kahalgaon Thermal power station, coal is a basic input, which is to be ensured through transportation from linked mines through the MGR network. For this transportation, rakes comprising wagons are required. If the old/damaged wagons are only decapitalized and new wagons are not inducted, the fuel availability to the station cannot be ensured. Hence, these exceptional circumstances are beyond the control of the Petitioner.

(h) BSPHCL's submission that reliance on the APTEL's Farakka judgment is misconceived is utterly unsustainable. The principal issue in both generating stations is identical, procurement of wagons to ensure efficient fuel receipt. APTEL has conclusively held that such procurement is justified, and judicial consistency mandates application of the same principle to Kahalgaon. The Commission is bound to follow the law laid down by the superior forum unless distinguishable facts are shown, which BSPHCL has failed to demonstrate.

(i) BSPHCL's argument that the Petitioner's claim of filing capitalization details in Petition No. 294/GT/2020 is not borne out by the record is misleading. The additional submissions dated 10.5.2022 specifically set out the expenditure of Rs. 454.49 lakh for 10 wagons at Kahalgaon, supported by Form-9, Form-9Bi, Form-D, and other supporting annexures. The details are already available in the above submissions that 10 nos. of wagons were procured in 2014-15 to ensure fuel availability at the station. Further, auditor certificates submitted with the aforesaid Petition No. 294/GT/2020 duly show capitalization of 10 nos. of wagons in 2014-15 along with details of vendor i.e. M/s Hindusthan Engineering and Industries and the amount of Rs. 4,54,49,275/-. The plea of non-existence of records is incorrect and contrary to the record before the Commission.

(j) The allegation that no verifiable data has been provided about the number and usability of wagons before and after procurement is thus misplaced. All details pertaining to wagon capitalization are on record including the certificate from the Auditor.

(k) The plea that no specific data is furnished on wagon-wise decapitalization dates and values is equally misconceived. The Petitioner has submitted the details of each and every wagon decapitalized with its petition filed for the station from time to time. The auditor's certificate and decapitalization entries in Form-9Bi conclusively evidence replacement and accounting treatment. The Commission, after a prudence check has only deducted such a decap from the capital cost of the generating station. With regard to Respondent submission that wagon-wise linkage or verifiable computation of decapitalization values is not provided, the wagons were decapitalized before 2014 only.

(l) The Petitioner, vide additional submission dated 6.8.2025, has placed on record the detailed particulars of wagon decapitalization, including the amounts duly considered by the Commission in various orders, from time to time. The records indicate that 66 wagons were decapitalized during the period 2008–09 to 2012–13, resulting in a shortage at the generating station. Further, notwithstanding the capitalization of 10 wagons, two additional wagons were decapitalized in 2016–17. In view of these facts, the requirement of prudence check under Regulation 14(3)(x) of the 2014 Tariff Regulations stands duly met.

(m) BSPHCL's speculative allegation that capitalization may have been claimed under O&M or Compensation Allowance is without basis. NTPC has categorically clarified in its Petition that the wagons are capital assets of significant operational importance and not minor assets under the proviso to Regulation 14(3)(x) of the 2014 Tariff Regulations. The Petitioner has already certified that capitalization of these wagons has not been included in O&M/ Compensation allowance.

(n) The claim that no SoP for declaring wagons unserviceable has been produced is equally untenable. The declaration of wagons as unserviceable is part of standard practice followed by NTPC, duly certified through accounting treatment and audit verification. A sample certificate from M/s

RITES (A govt. of India Enterprise) have been placed on record confirming decapitalization of unserviceable wagons. Wagons have been declared unserviceable based on certification from a third party (Govt. agency expert in Railway Works) hence, the plea raised by BSPHCL is therefore hyper-technical and unsustainable.

(o) The overarching suggestion that the Petition is not bona fide is a bald and unfounded allegation. The Petition arises from liberty granted by the Commission itself, is supported by binding precedent of the APTEL, and is backed by audited financials, statutory records, and prudence check disclosures. The Petition is thus fully maintainable and meritorious.

(p) All objections raised by BSPHCL are devoid of merit, stand contradicted by record and binding precedent, and deserve outright rejection. The expenditure of Rs. 454.49 lakh towards procurement of 10 wagons for Kahalgaon STPS-I, necessitated due to operational exigencies and replacement of unserviceable wagons, fully satisfies the requirements of Regulation 14(3)(x) of the 2014 Tariff Regulation.

Hearing dated 26.9.2025

10. The matter was heard on 26.9.2025. Based on the request of learned counsels of the parties, the Petitioner and Respondent were permitted to file their respective written submissions, with a copy to the opposite side. Subject thereto, the order in the Petition was reserved. Thereafter, the Petitioner and BSPHCL, vide affidavits dated 13.10.2025, filed their written submissions reiterating the averments made in the Petition, Reply, and Rejoinder; hence, the same are not being repeated for the sake of brevity.

Analysis and Decision

11. We have heard the learned counsels for both the Petitioner and Respondent No. 1, BSPHCL, and have carefully perused the documents available on record and

duly considered the submissions advanced by the parties. The issue for our consideration is whether the additional capital expenditure of Rs. 454.49 lakh incurred by the Petitioner towards the procurement of 10 railway wagons for Kahalgaon STPS Stage-I during FY 2014-15 is admissible under Regulation 14(3)(x) of the 2014 Tariff Regulations.

12. It is noticed that the Petitioner's claim was earlier deferred by the Commission in its order dated 19.5.2024 in Petition No. 294/GT/2020, pending final adjudication by the APTEL on an identical issue relating to Farakka STPS. Pursuant thereto, the APTEL vide its judgment dated 22.11.2024 allowed capitalization of expenditure incurred towards procurement of railway wagons, holding that such wagons form an integral part of the fuel receiving system of a thermal generating station and that the expenditure is not in the nature of routine O&M or covered under compensation allowance.

13. The BSPHCL has objected to the claim primarily on the grounds of alleged lack of documentary evidence, absence of wagon-wise inventory data, and apprehension of double recovery through O&M expenses or compensation allowance. It has also been contended that details relating to decapitalization and compliance with the SoP for declaring wagons unserviceable are insufficient. The Petitioner, on the other hand, has submitted that a total of 66 wagons were decapitalized during FY 2008-09 to FY 2012-13 and two additional wagons in FY 2016-17, and that the corresponding decapitalized amounts were duly deducted from the capital cost by the Commission in the respective tariff orders. The Petitioner has further submitted that the 10 wagons procured in FY 2014-15 were the first replacement wagons capitalized for the generating station after a prolonged period of decapitalization, and that the expenditure

has been duly supported by audited accounts, Form-9Bi, auditor's certificates, and third-party certification by RITES Limited.

14. We note that the operational circumstances of Kahalgaon STPS Stage-I are materially similar to those considered by the APTEL. We observe that the expenditure is due to decapitalisation of a substantial number of wagons over the years, with corresponding deductions already effected from the capital cost by the Commission, and that the procurement of 10 wagons in FY 2014-15 was undertaken on a replacement basis due to operational exigencies beyond the control of the generating station.

15. In view of the decision of the APTEL`s judgment dated 22.11.2024 and in terms of Regulation 14(3)(x) of the 2014 Tariff Regulations, the additional capital expenditure of Rs. 454.49 lakh incurred towards procurement of 10 railway wagons for Kahalgaon STPS Stage-I in FY 2014-15 is admissible. Accordingly, the additional capitalization of Rs. 454.49 lakh is allowed, and the tariff allowed vide order dated 19.5.2024 in Petition No. 294/GT/2020 read with corrigendum dated 15.6.2024 for Kahalgaon STPS Stage-I for the period 2014-19 is revised in accordance with the 2014 Tariff Regulations in subsequent paragraphs.

16. The table under paragraph 76 (capital cost allowed) of the order dated 19.5.2024 in Petition No. 294/GT/2020, read with the corrigendum dated 15.6.2024, stands modified, as under:

(Rs. In lakh)

	2014-15	**2015-16**	**2016-17**	**2017-18**	**2018-19**
Opening Capital Cost (A)	214862.50	216158.73	217795.79	218293.76	217646.49
Add: Addition during the year/ period (B)	1545.17 (1090.68+ 454.49)	2075.73	1503.18	3018.00	2817.97

	2014-15	2015-16	2016-17	2017-18	2018-19
Less: De-capitalization during the year/period (C)	313.16	536.35	1006.01	3676.25	1664.62
Add: Discharge during the year/period (D)	64.21	97.69	0.79	10.98	0.00
Closing Gross Block (E) = (A+B+C+D)	216158.73	217795.79	218293.76	217646.49	218799.84
Average Gross Block (F)=(A+E)/2	215510.61	216977.26	218044.78	217970.13	218223.17

Debt-Equity Ratio

17. The table under paragraph 78 of the order dated 19.5.2024 in Petition No. 294/GT/2020, read with the corrigendum dated 15.6.2024, stands modified, as under:

Particulars	**Capital cost upto COD / 1.4.2014**		**Actual completion cost, including additional capitalization**		**Capital cost as on 31.3.2019**	
	Amount *(Rs. In lakh)*	**(%)**	**Amount *(Rs. In lakh)***	**(%)**	**Amount *(Rs. In lakh)***	**(%)**
Debt	109862.87	51.13%	2756.14	70.00%	112619.01	51.47%
Equity	104999.64	48.87%	1181.20	30.00%	106180.84	48.53%
Total	**214862.50**	**100.00%**	**3937.34**	**100.00%**	**218799.84**	**100.00%**

Return on Equity

18. The table under paragraph 82 of the Order dated 19.5.2024 in Petition No. 294/GT/2020, read with the corrigendum dated 15.6.2024, stands modified, as under:

(Rs. In lakh)

Particulars		**2014-15**	**2015-16**	**2016-17**	**2017-18**	**2018-19**
Normative Equity-Opening	A	104999.64	105388.50	105879.62	106029.01	105834.83
Addition of Equity due to additional capital expenditure	B	388.87	491.12	149.39	-194.18	346.00
Normative Equity-Closing	C=A+B	105388.50	105879.62	106029.01	105834.83	106180.84
Average Normative Equity	D=Average(A,C)	105194.07	105634.06	105954.32	105931.92	106007.84
Return on Equity (Base Rate)	E	15.500%	15.500%	15.500%	15.500%	15.500%
Tax Rate for the year	F	20.961%	21.342%	21.342%	21.342%	21.549%
Rate of Return on Equity (Pre-Tax)	G=E/(1-F)	19.610%	19.705%	19.705%	19.705%	19.758%
Return on Equity (Pre-Tax) annualised	**H=D*G**	**20628.56**	**20815.19**	**20878.30**	**20873.89**	**20945.03**

Depreciation

19. The table under paragraph 85 of the Order dated 19.5.2024 in Petition No. 294/GT/2020 read with the corrigendum dated 15.6.2024 stands modified, as under:

(Rs. In lakh)

Particulars		**2014-15**	**2015-16**	**2016-17**	**2017-18**	**2018-19**
Average Capital Cost	A	215510.61	216977.26	218044.78	217970.13	218223.17
Value of freehold land	B	3741.94	4418.62	4610.11	4723.84	4824.40
Aggregated Depreciable Value	C=(A-B)* 90%	190591.81	191302.78	192091.20	191921.66	192058.89
Remaining Aggregate Depreciable value at the beginning of the year	D=C-(Cumulative Depreciation of the Previous year)	37792.54	33719.82	29752.91	24983.41	22501.92
No. of completed years at the beginning of the year	E	17.45	18.45	19.45	20.45	21.45
Balance useful life at the beginning of the year	F=25-E	7.55	6.55	5.55	4.55	3.55
Depreciation (annualized)	**G**	**5005.63**	**5148.06**	**5360.88**	**5490.86**	**6338.57**
Less: Cumulative depreciation adjustment on account of de-capitalization	H	221.95	392.73	760.92	2872.14	1345.66
Cumulative depreciation (at the end of the period)	K= (Cumulative Depreciation of the Previous year) +G -H	157582.95	162338.29	166938.25	169556.97	174549.88

Working Capital for Receivables

20. The table under paragraph 148 of the Order dated 19.5.2024 in Petition No. 294/GT/2020, read with the corrigendum dated 15.6.2024, stands modified, as under:

(Rs.in lakh)

	2014-15	**2015-16**	**2016-17**	**2017-18**	**2018-19**
Variable Charges - for two months (A)	24259.79	24326.26	24259.79	24844.37	24844.37
Fixed Charges – for two months (B)	8899.10	9183.86	9464.76	9760.86	10185.48
Total (C) = (A+B)	**33158.90**	**33510.12**	**33724.56**	**34605.23**	**35029.84**

21. The table under paragraph 151 (Interest on working capital) of the Order dated 19.5.2024 in Petition No. 294/GT/2020, read with the corrigendum dated 15.6.2024, stands modified, as under:

(Rs.in lakh)

Particulars	**2014-15**	**2015-16**	**2016-17**	**2017-18**	**2018-19**
Cost of coal for 15 days for stock	5914.20	5914.20	5914.20	6056.71	6056.71
Cost of coal for 1 month for generation	11828.40	11828.40	11828.40	12113.43	12113.43
Cost of oil for 2 months	279.04	279.81	279.04	285.77	285.77
O & M expenses	1673.57	1780.48	1891.30	2009.56	2135.70
Maintenance Spares	4016.58	4273.15	4539.11	4822.96	5125.68
Receivables	33158.90	33510.12	33724.56	34605.23	35029.84
Total Working Capital	**56870.69**	**57586.16**	**58176.62**	**59893.66**	**60747.13**
Rate of Interest	13.50%	13.50%	13.50%	13.50%	13.50%
Total Interest on Working capital	**7677.54**	**7774.13**	**7853.84**	**8085.64**	**8200.86**

<u>Annual Fixed Charges for the period 2014-19</u>

22. The table under paragraph 152 of the Order dated 19.5.2024 in Petition No. 294/GT/2020, read with the corrigendum dated 15.6.2024, stands modified, as under:

(Rs.in lakh)

Particulars	**2014-15**	**2015-16**	**2016-17**	**2017-18**	**2018-19**
Depreciation	5005.63	5148.06	5360.88	5490.86	6338.57
Interest on Loan	0.00	0.00	0.00	0.00	0.00
Return on Equity	20628.56	20815.19	20878.30	20873.89	20945.03
O&M Expenses	20082.88	21365.75	22695.56	24114.78	25628.40
Interest on Working Capital	7677.54	7774.13	7853.84	8085.64	8200.86
Compensation Allowance	420.00	630.00	735.00	840.00	840.00
Total	**53814.61**	**55733.14**	**57523.59**	**59405.16**	**61952.86**

Note: (1) All figures are on an annualised basis. (2) All figures under each head have been rounded. The figure in the total column in each year is also rounded. As such the sum of individual items may not be equal to the arithmetic total of the column.

23. Except for the above, all other terms in the Order dated 19.5.2024 in Petition No. 294/GT/2020 read with the corrigendum dated 15.6.2024 remain unaltered.

24. In terms of the above, Petition No. 424/MP/2025 stands disposed of.

Sd/-	***Sd/-***	***Sd/-***	***Sd/-***
(Ravinder Singh Dhillon)	**(Harish Dudani)**	**(Ramesh Babu V.)**	**(Jishnu Barua)**
Member	**Member**	**Member**	**Chairperson**